forward, we hope a more vibrant Masala bond market abroad will complement a vibrant domestic corporate bond market.

Even though FDI flows are enough to cover our current account deficit, we are also encouraging inflows into the debt markets to improve depth and liquidity. We have progressively expanded FPI limits in government debt, and recently specified how these limits will expand for the foreseeable future. We have also opened up investment in state government debt, and laid out the medium-term plan for those limits also. In general, our aim is to liberalize steadily, but in a thoughtful way, continuously asking how further liberalization will strengthen our domestic markets.

We have not been persuaded by every market plea. For example, a number of investment banks want a dollar-denominated G-Sec issued internationally – ostensibly to create a benchmark dollar yield curve for Indian instruments. While I agree such an instrument would be attractive for investors in the yield-starved world, I am not persuaded it is useful for India. When much of the emerging world would love to move from issuing dollar debt to issuing in its own currency so as to avoid currency risk, I don't see why we should move the other way. Instead, let us build out an international quasi-sovereign rupee yield curve, so that rupee issuances can be priced easily. It is with this in mind that we have allowed banks to issue Masala bonds yesterday, with bank bonds being a good quasi-sovereign proxy.

LIQUIDITY

Of course, not all parts of the rupee yield curve are liquid, even in the domestic G-Sec market. At the very short end, we are trying to bring more liquidity and better pricing through the auctioning of term repos. At the longer end, we have been trying to focus on more illiquid securities in our open market operations so that the term curve evens